

non-committal about their performance prior to end of year results.

Sell more: A counter strategy?

Most organisations reacted promptly to this by pushing their sales teams even harder. Sales can do only as much as is feasible in an atmosphere where consumer spending is slowly drying up resulting in a slowdown in the consumer electronics sales. More than two-third of those interviewed felt that the best way was to improve sales force productivity by using sales automation tools and by organising focused trainings for sales force so that they could double as brand-building agents as well. Introducing a new product in the market also seems to be a way by which firms are trying to attract customers. R&D, in this regard, is working hand in hand with marketing to try and ensure as large a customer base as possible without incurring too much cost.

Thankfully, none of the executives spoke about retrenchment

With the domestic market not faring too well, barring the defence and security sectors (accentuated by the recent terrorist attacks), organisations are turning towards exports to save the day. The primary target audience here seems to be the SAARC countries along with Afghanistan and the African nations. In this regard, companies are also using the strategy of showing their 'human face' in order to successfully combat the threat of Chinese companies, as was highlighted by Ram Mohan, CEO of Accurex Solution—a firm with 15 years of experience in the field of PCB assembly.

Some like APW President System also plan to increase sales by such innovative methods as cross-selling and up-selling and by sharpening their

focus on verticals that are growth-oriented. For example, they have been supplying enclosure systems to customers like IBM and TCS, but recently have also started offering a multilayer power solution that includes data centre monitoring and planning.

Cut cost: the next best option

The next best thing as always is to get into a 'cost-cutting' mode. Here organisations need to be a little careful though. Too often we have seen that firms tend to equate cost-cutting with retrenchment. However, it can be safely said that human resource has a very small contribution towards operating costs. Moreover, given the lack of skilled professionals and the cost that an organisation, in all probability, has already incurred in grooming them—along with the fact that companies will again need to start stacking up once the economy picks up—such a decision, if taken, could indeed turn out to be a myopic one.

Thankfully, none of the executives spoke about retrenchment, though a reduction in salary hike seemed imminent. In fact, some of them even mentioned hiring, especially in research and sales.

The most popular areas of cost reduction turned out to be logistics and wastage reduction. Logistics cost is being brought down by re-negotiation with less-expensive third-party logistics (3PLs) and a renewed focus on quality systems and enterprise resource planning (ERP) processes is helping reduce wastage.

For manufacturing companies, reducing excess inventory, as always, seems to be the key to bringing down operation costs, i.e., making the operation *lean*. While fast-moving stock-keeping units (SKUs) are still being pushed through the channel, slow-moving SKUs are being shipped directly from the plants on an order-to-order basis.

In the marketing and advertisement areas, the Web and bulk messages pushed through cellular networks are being looked upon as the innovative strategy of publicity. Other areas that

